Expense and Travel Policy

Aurora Retail Holdings

Effective Date: January 1, 2024

Owner: Corporate Finance – Accounts Payable

1. Purpose and Scope

1.1 The purpose of this Expense and Travel Policy is to provide clear guidelines for incurring, approving, and reimbursing business expenses on behalf of Aurora Retail Holdings (“the Company”).

1.2 The policy applies to all employees, contractors, and officers who incur expenses that will be charged to the Company.

1.3 The objectives are to:

a) Ensure expenses are reasonable, necessary, and directly related to Company business;

b) Promote consistent treatment across departments; and

c) Facilitate timely and accurate reimbursement and accounting.

2. Allowable vs. Non-Allowable Expenses

2.1 Allowable expenses

2.1.1 Examples of allowable business expenses include:

a) Transportation for business travel (air, rail, rideshare, mileage for personal vehicles)

b) Lodging during approved business trips

c) Meals and reasonable incidentals while traveling

d) Registration fees for approved conferences or training

e) Modest client entertainment where business is discussed

2.1.2 All allowable expenses must:

a) Have a clear business purpose;

b) Be supported by itemized receipts; and

c) Comply with this policy and any local regulations.

2.2 Non-allowable expenses

2.2.1 The following are typically not reimbursable:

a) Personal travel or vacation days added to a business trip (incremental cost)

b) Luxury or premium upgrades (e.g., first-class air, luxury hotels) without pre-approval

c) Fines or penalties (e.g., parking tickets)

d) Alcohol in excess of modest, business-appropriate consumption

e) Family member travel, unless pre-approved in writing by an Executive

2.2.2 If employees are unsure whether an expense is allowable, they should consult their manager or Accounts Payable before incurring the expense.

3. Travel Booking Rules

3.1 General principles

3.1.1 Employees should book travel as early as practical to secure competitive rates.

3.1.2 Economy class is the standard for air and rail travel. Premium cabins may be approved for:

a) Flights exceeding 8 hours; or

b) Medical reasons documented with HR; or

c) Executive-level travel where required for security or productivity.

3.2 Lodging

3.2.1 Employees should book mid-range business hotels near the work location or event.

3.2.2 Hotel upgrades (e.g., suites, club floors) are not reimbursable unless:

a) The upgraded room is the only available option; or

b) Pre-approved by a VP or above for client hosting.

3.2.3 All incidental hotel charges (room service, mini-bar, movies) must be itemized. Personal entertainment costs are not reimbursable.

3.3 Ground transportation

3.3.1 Employees should choose the most cost-effective option considering safety and time:

a) Public transit

b) Rideshare or taxis

c) Rental cars where appropriate for the location and itinerary

3.3.2 When renting a car:

a) Compact or mid-size is the standard class

b) Additional insurance should only be purchased where required by local law or if personal coverage is not available

4. Reimbursement Process and Timelines

4.1 Expense submission

4.1.1 Employees must submit expense reports within 30 days of incurring the expense or returning from a trip.

4.1.2 Expense reports must include:

a) Date and description of each expense

b) Business purpose

c) Project or cost center code

d) Scanned itemized receipts for all expenses greater than or equal to USD 25

4.2 Payment timing

4.2.1 Approved expense reports will be reimbursed via payroll or direct deposit within 10 business days of final approval.

4.2.2 Reimbursement delays due to missing documentation are the responsibility of the submitter.

4.3 Currency and exchange rates

4.3.1 Foreign currency expenses should be converted using:

a) The rate on the credit card statement; or

b) A reasonable published rate on the date of the transaction.

4.3.2 Employees must not manipulate exchange rates to increase reimbursement.

5. Approval Workflow

5.1 Manager approval

5.1.1 All expense reports must be reviewed and approved by the employee's direct manager or designated approver.

5.1.2 Managers are responsible for verifying:

a) Business relevance of the expense

b) Compliance with this policy

c) Correct coding to cost centers or projects

5.2 Additional approvals

5.2.1 The following require pre-approval from a VP or above:

a) International travel

b) Conference attendance with a total cost exceeding USD 5,000

c) Client entertainment expected to exceed USD 1,000

5.2.2 Exceptions for non-allowable expenses require written approval from both:

a) The relevant VP; and

b) The Controller or their delegate.

6. Policy Exceptions

6.1 Exception process

6.1.1 When business needs require deviation from this policy (e.g., last-minute bookings, limited lodging options), employees should:

a) Document the reason for the exception; and

b) Obtain written pre-approval from their manager or VP where practical.

6.1.2 In urgent situations where pre-approval is not possible, the exception and justification should be documented in the expense report for after-the-fact review.

6.2 Review and enforcement

6.2.1 Accounts Payable may reject or adjust expenses that do not comply with this policy.

6.2.2 Repeated non-compliance may result in:

a) Delayed reimbursements

b) Escalation to HR

c) Disciplinary action for misuse of Company funds

7. Policy Review

7.1 This policy will be reviewed annually by Finance and HR.

7.2 Updates will be communicated via email and posted on the Company intranet.